

Components Manufacturing Can India Rise to the Occasion?

The manufacturing policy initiated by the government is a big step forward but it doesn't address the 'resource' issue. The financial resources and technology base are critical for any future growth



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According to a recent survey conducted by the Department of Information Technology (DIT) in association with ELCINA Electronics Industries Association of India (ELCINA), the size of the total electronics components industry in India was over \$9.2 billion in 2010, of which over 60 per cent was met through imports. Furthermore, value addition in locally manufactured components was low because of the high dependence on imported raw materials.

The huge gap between the requirement and the manufacturing volume of electronic components in India is

only going to widen with every passing year. This has been highlighted time and again to the government and generally partly addressed by the new manufacturing policy announced by the government. Next to oil, electronics is the single largest area in which imports are growing in double digits every year.

Things to blame

One main reason for this poor show is no encouragement by the government so far.

Says Pankaj Gulati, executive vice president and chief operating officer, Continental Device India Ltd (CDIL), "Why should anybody make a huge

investment in component manufacturing in India when components are being manufactured in millions and billions of pieces right across the border in China and imported at zero duty? Just look at the number of mobiles that Nokia is making in India and the number of components it sources from India. Are colour TV manufacturers buying any active component from India? They may be buying a bit of PCBs but the rest of the components are all being imported. They are bringing components from China, Korea and Thailand. Also, why should a TV be manufactured in India when you can bring it from Thailand at zero duty? The industry is becoming sick with government policies. The government is allowing free trade of finished goods like TV under free trade agreement (FTA). It doesn't want us to manufacture."

Even the Tamil Nadu government's order for distributing free TVs to people below the poverty line ultimately went to China. China supplied the semi-knocked-down (SKD) kits and the TVs were just assembled in India.

"We were probably the first and the last to manufacture semiconductors in India. We had been doing it for the last 42 years. It was in 1964 when we started the first silicon semiconductor factory in India. We have stopped it now and moved it to Hong Kong. We are exporting almost 40-50 per cent of the semiconductors manufactured at this facility to countries all over the world. The rest of the output is purchased by Indian companies, but none of the large players. Large Indian